NOMURA

Global Markets Research

4 August 2026

Vanguard 5347.TWO 5347 TT

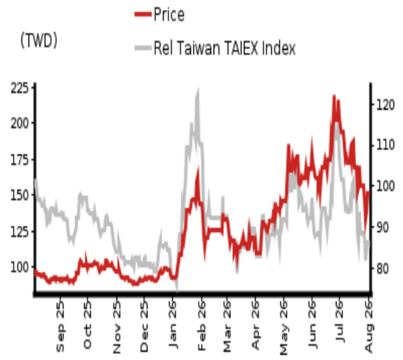
EQUITY: FOUNDRY

Higher pricing to bolster 2027F profitability

VSMC could enjoy faster ramp-up; better pricing dynamics could mitigate some GM dilution; maintain Buy

Rating Remains	Buy
Target price Increased from TWD 178.00	TWD 220.00
Closing price 4 August 2026	TWD 154.50
Implied upside	+42.4%
Market Cap (USD mn)	8,963.3
ADT (USD mn)	188.1

Relative performance chart



Source: LSEG, Nomura

Steadily improving fundamentals; the VSMC decision appears prudent in retrospect

Vanguard (VIS) guided for 3Q26E wafer shipment growth of 1-3% q-q and blended ASP growth of 2-4% q-q (*Fig. 2*; mostly due to pricing uplift), implying in-line wafer revenue growth of c.5% q-q (in USD terms). Its 3Q26E GM guidance arrived higher at 32.5-34.5%. During the earnings call, management appeared more constructive on pricing than before, expecting "a possibly higher adjustment magnitude in 2027E than 2026," which in our view could be underpinned by a potential landscape shift in the mature-node foundry beyond 2027-28F (*report*). Despite its price hike intentions, as we highlighted in April (*report*), we think there is flexibility to negotiate pricing, as in the case of UMC (2303 TT, Buy), and VIS' ASP increase this year might end up at c.5%. We model another 5% increase for 1Q27F (for 8″ fabs) and tentatively assume no hike thereafter, though it could be conservative if AI demand strength continues to consume even more resources (particularly human resources) from TSMC (2330 TT, Buy). In addition, management noted that the ramp-up pace of the new 12″ fab (VSMC) toward breakeven point and full capacity (44kwpm) could be reached "earlier than expected," and that interposer production would kick off from 1Q27E. We continue to believe that absorption of 65nm silicon interposer/local silicon interconnect (LSI) production outsourced by TSMC, along with tool consignments to alleviate capex burden, should drive the fab toward our faster breakeven scenario simulation (*report*) with better GM fall-through. The underlying assumption in our model is a 2028F turnaround (on the GM level) for VSMC. Hence, we raise our 2026F EPS by 5% and 2027-28F EPS by 24% to factor in the pricing benefits. Our new TP of TWD220 (vs TWD178 previously) is based on 30x (unchanged) 2027F EPS of TWD7.3, which is at the high end of VIS's valuation, discounting potential analog/mixed-signal and interposer/LSI opportunities flowing out of TSMC. VIS currently trades at 21x 2027F P/E.

Other highlights from the earnings call

(1) Capacity planning: VIS looks to purchase used tools if possible to expand capacity; used tools can be sourced, but the lead time is subject to negotiation with vendors. Meanwhile, VIS still has some cleanroom spaces in Taiwan and Singapore 8″ fabs to install more tools, and aside from debottlenecking, it could also upgrade some node capacity to finer pitches. **(2) VSMC future plans:** The current focus is on phase 1 ramp-up. While VIS does consider the phase 2 project, it has no concrete plans as yet.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	48,591	57,359	58,237	71,051	78,190	85,449	92,573
Reported net profit (mn)	7,908	10,583	11,105	10,916	13,496	12,019	14,902
Normalised net profit (mn)	7,908	10,583	11,105	10,916	13,496	12,019	14,902
FD normalised EPS	4.30	5.76	6.04	5.94	7.34	6.54	8.10
FD norm. EPS growth (%)	2.2	33.8	40.4	3.1	21.5	10.1	10.4
FD normalised P/E (x)	35.9	–	25.6	–	21.1	–	19.1
EV/EBITDA (x)	18.5	–	16.3	–	13.0	–	11.4
Price/book (x)	4.5	–	4.2	–	3.9	–	3.6
Dividend yield (%)	2.9	–	2.9	–	2.9	–	2.9
ROE (%)	12.4	16.0	16.7	15.7	18.9	16.5	19.3
Net debt/equity (%)	net cash	43.4	29.5	86.5	69.7	117.2	94.1

Source: Company data, Nomura estimates

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Key data on Vanguard

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-20.2	2.3	62.6	M cap (USDmn)	8,963.3
Absolute (USD)	-21.3	-0.3	50.0	Free float (%)	47.0
Rel to Taiwan TAIEX Index	-12.9	-4.3	-22.9	3-mth ADT (USDmn)	188.1

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	44,055	48,591	58,237	78,190	92,573
Cost of goods sold	-32,122	-34,937	-39,357	-53,880	-64,343
Gross profit	11,933	13,654	18,880	24,310	28,231
SG&A	-4,822	-5,880	-7,220	-9,452	-11,109
Employee share expense	0	0	0	0	0
Operating profit	7,111	7,773	11,659	14,858	17,122
EBITDA	15,733	16,326	20,909	28,616	34,550
Depreciation	-8,622	-8,552	-9,250	-13,758	-17,428
Amortisation	0	0	0	0	0
EBIT	7,111	7,773	11,659	14,858	17,122
Net interest expense	1,754	1,554	1,173	970	380
Associates & JCEs	-64	-145	-23	0	0
Other income	-49	68	171	0	0
Earnings before tax	8,752	9,251	12,981	15,829	17,503
Income tax	-1,705	-1,480	-2,139	-2,533	-2,800
Net profit after tax	7,047	7,770	10,842	13,296	14,702
Minority interests	-1	137	263	200	200
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	7,046	7,908	11,105	13,496	14,902
Extraordinary items	0	0	0	0	0
Reported NPAT	7,046	7,908	11,105	13,496	14,902
Dividends	-8,400	-8,403	-8,452	-8,452	-8,452
Transfer to reserves	-1,353	-496	2,653	5,044	6,450
Valuations and ratios					
Reported P/E (x)	36.7	35.9	25.6	21.1	19.1
Normalised P/E (x)	36.7	35.9	25.6	21.1	19.1
FD normalised P/E (x)	36.7	35.9	25.6	21.1	19.1
Dividend yield (%)	2.9	2.9	2.9	2.9	2.9
Price/cashflow (x)	10.5	11.2	11.2	14.1	10.4
Price/book (x)	4.5	4.5	4.2	3.9	3.6
EV/EBITDA (x)	16.5	18.5	16.3	13.0	11.4
EV/EBIT (x)	36.6	39.2	29.3	25.0	23.1
Gross margin (%)	27.1	28.1	32.4	31.1	30.5
EBITDA margin (%)	35.7	33.6	35.9	36.6	37.3
EBIT margin (%)	16.1	16.0	20.0	19.0	18.5
Net margin (%)	16.0	16.3	19.1	17.3	16.1
Effective tax rate (%)	19.5	16.0	16.5	16.0	16.0
Dividend payout (%)	119.2	106.3	76.1	62.6	56.7
ROE (%)	12.8	12.4	16.7	18.9	19.3
ROA (pretax %)	8.5	6.0	6.4	6.8	6.8
Growth (%)					
Revenue	15.1	10.3	19.9	34.3	18.4
EBITDA	15.5	3.8	28.1	36.9	20.7
Normalised EPS	-6.4	2.2	40.4	21.5	10.4
Normalised FDEPS	-6.4	2.2	40.4	21.5	10.4

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	15,733	16,326	20,909	28,616	34,550
Change in working capital	-6,436	13,991	-12,043	-6,835	-4,745
Other operating cashflow	15,433	-4,877	16,530	-1,563	-2,420
Cashflow from operations	24,731	25,439	25,396	20,219	27,385
Capital expenditure	-15,908	-63,264	-62,450	-43,000	-43,000
Free cashflow	8,823	-37,825	-37,054	-22,781	-15,615
Reduction in investments	4,357	1,183	-498	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-148	2,370	2,797	0	0
CF after investing acts	13,033	-34,271	-34,755	-22,781	-15,615
Cash dividends	-7,375	-8,400	-8,403	-8,452	-8,452
Equity issue	17,593	0	0	0	0
Debt issue	2,996	7,519	29,176	15,000	30,000
Convertible debt issue	0	0	0	0	0
Others	3,875	16,409	11,214	0	0
CF from financial acts	17,088	15,528	31,987	6,548	21,548
Net cashflow	30,121	-18,744	-2,769	-16,234	5,932
Beginning cash	27,699	57,820	39,076	36,308	20,074
Ending cash	57,820	39,076	36,307	20,074	26,006
Ending net debt	-36,836	-10,696	20,307	51,541	75,609

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	57,820	39,076	36,308	20,074	26,006
Marketable securities	8,929	2,640	4,245	4,245	4,245
Accounts receivable	12,356	15,445	13,719	18,015	21,249
Inventories	6,221	6,937	8,778	12,194	14,226
Other current assets	886	2,799	2,902	2,902	2,902
Total current assets	86,211	66,897	65,952	57,430	68,629
LT investments	7,448	9,420	8,176	8,176	8,176
Fixed assets	44,141	113,869	151,474	180,717	206,289
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	10,905	10,282	11,205	11,205	11,205
Total assets	148,706	200,469	236,807	257,528	294,299
Short-term debt	0	10,520	12,728	12,728	12,728
Accounts payable	1,416	1,724	2,253	3,129	3,651
Other current liabilities	19,959	39,360	27,007	27,007	27,007
Total current liabilities	21,375	51,604	41,988	42,864	43,385
Long-term debt	20,984	17,860	43,887	58,887	88,887
Convertible debt	0	0	0	0	0
Other LT liabilities	37,679	47,415	52,237	52,237	52,237
Total liabilities	80,039	116,879	138,112	153,988	184,509
Minority interest	4,563	19,713	29,835	29,635	29,435
Preferred stock	0	0	0	0	0
Common stock	37,532	37,686	40,227	40,227	40,227
Retained earnings	27,610	27,104	29,938	34,981	41,431
Proposed dividends	0	0	0	0	0
Other equity and reserves	-1,037	-913	-1,304	-1,304	-1,304
Total shareholders' equity	64,104	63,877	68,861	73,904	80,354
Total equity & liabilities	148,706	200,469	236,807	257,528	294,299
Liquidity (x)					
Current ratio	4.03	1.30	1.57	1.34	1.58
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	0.97	1.80	2.19
Net debt/equity (%)	net cash	net cash	29.5	69.7	94.1
Per share					
Reported EPS (TWD)	4.21	4.30	6.04	7.34	8.10
Norm EPS (TWD)	4.21	4.30	6.04	7.34	8.10
FD norm EPS (TWD)	4.21	4.30	6.04	7.34	8.10
BVPS (TWD)	34.34	34.21	36.66	39.35	42.78
DPS (TWD)	4.50	4.50	4.50	4.50	4.50
Activity (days)					
Days receivable	76.1	104.4	91.4	74.1	77.6
Days inventory	67.6	68.7	72.9	71.0	75.1
Days payable	13.6	16.4	18.4	18.2	19.3
Cash cycle	130.1	156.7	145.8	126.9	133.5

Source: Company data, Nomura estimates

Company profile

Vanguard International Semiconductor Corporation is a semiconductor foundry service provider that specializes 8-inch wafer fabrication founded in 1994. Its product lines could roughly be divided into display driver ICs and power management platforms.

Valuation Methodology

Our TP of TWD220.00 is based on 30x 2027F P/E. Our target P/E multiple of 30x is at the high end of VIS's valuation. Our benchmark index is TWSE Index.

Risks that may impede the achievement of the target price

Major upside risks: (1) larger-than-expected price hike magnitude for 8" foundries; (2) stronger-than-expected demand increase in automotive; (3) faster-than-expected progress in ramping up incremental fab capacity; and (4) faster-than-expected outsourcing from global IDMs. Major downside risks: (1) shortage of 8" fab supply accelerates customers' migration to 12"; (2) oversupply after major 8" foundries' capacity expansion; and (3) weaker-than-expected end-product sell-through.

ESG

VIS founded a corporate sustailability committee in 2012 to set regulations and goals for ESG activities Major aspects include governance and innovation, green manufacturing, responsible supply chain, friendly workplace and common good. VIS' core ESG mission of "pursuing corporate growth through sustainable thinking" could be evidenced by the pay hike in January 2021 after VIS consequently generated robust profits.

Financial analysis and forecasts

Fig. 1: Vanguard's 2Q26 results vs Nomura forecasts and Bloomberg pre-results consensus

	2Q26							
(TWD mn)	Actual	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.
Revenue	14,245	13.7%	14,334	14.4%	-0.6%	14,344	14.5%	-0.7%
Gross profit	4,604	25.4%	4,650	26.7%	-1.0%	4,655	26.8%	-1.1%
- Opex	(1,704)	7.5%	(1,792)	13.1%	-4.9%	(1,717)	8.4%	-0.8%
Operating profit	2,901	39.0%	2,859	37.0%	1.5%	2,938	40.8%	-1.3%
Pretax profit	3,313	36.0%	3,264	33.9%	1.5%	3,150	29.3%	5.2%
Net profit	2,975	32.4%	2,955	31.5%	0.7%	2,777	23.6%	7.1%
EPS (TWD)	1.62	32.4%	1.61	31.5%	0.7%	1.48	21.2%	9.3%
Margin	Actual		NMR		Diff.	BBG		Diff.
Gross margin	32.3%		32.4%		-12bps	32.5%		-13bps
- Opex ratio	-12.0%		-12.5%		54bps	-12.0%		1bps
Operating margin	20.4%		19.9%		42bps	20.5%		-12bps
Pretax margin	23.3%		22.8%		49bps	22.0%		129bps
Net margin	20.9%		20.6%		27bps	19.4%		152bps

Note: Nomura estimates for 2Q26 are pre-results.
Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: Vanguard's 3Q26E guidance vs Nomura forecasts and Bloomberg pre-results consensus

	3Q26E								
(TWD mn)	Guidance	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	Remarks
Revenue	15,130	6.2%	15,061	5.1%	0.5%	15,772	10.0%	-4.1%	Wafer shipments +1-3% q-q
Gross profit	5,069	10.1%	4,818	3.6%	5.2%	5,200	11.7%	-2.5%	Blended ASP +2-4% q-q
- Opex			(1,883)	5.1%		(1,864)	8.5%		FX: TWD32.0/USD
Operating profit			2,935	2.7%		3,336	13.5%		
Pretax profit			3,272	0.3%		3,420	8.6%		
Net profit			2,667	-9.7%		3,030	9.1%		
EPS (TWD)			1.45	-9.7%		1.62	9.3%		
Margin	Guidance		NMR		Diff.	BBG		Diff.	Remarks
Gross margin	33.5%		32.0%		151bps	33.0%		53bps	32.5-34.5%
- Opex ratio			-12.5%			-11.8%			
Operating margin			19.5%			21.2%			
Pretax margin			21.7%			21.7%			
Net margin			17.7%			19.2%			

Note: Nomura estimates for 3Q26 are pre-results.
Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 3: Vanguard – 2026-28F forecast revisions

	2026F			2027F			2028F		
(TWD mn)	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Revenue	58,237	57,359	1.5%	78,190	71,051	10.0%	92,573	85,449	8.3%
Gross profit	18,880	18,161	4.0%	24,310	20,460	18.8%	28,231	24,093	17.2%
Operating profit	11,659	10,973	6.3%	14,858	11,871	25.2%	17,122	13,839	23.7%
Pretax profit	12,981	12,304	5.5%	15,829	12,757	24.1%	17,503	14,070	24.4%
Net profit	11,105	10,583	4.9%	13,496	10,916	23.6%	14,902	12,019	24.0%
EPS (TWD)	6.04	5.76	4.9%	7.34	5.94	23.6%	8.10	6.54	24.0%
Margin	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Gross margin	32.4%	31.7%	76bps	31.1%	28.8%	230bps	30.5%	28.2%	230bps
Operating margin	20.0%	19.1%	89bps	19.0%	16.7%	229bps	18.5%	16.2%	230bps
Pretax margin	22.3%	21.5%	84bps	20.2%	18.0%	229bps	18.9%	16.5%	244bps
Net margin	19.1%	18.5%	62bps	17.3%	15.4%	190bps	16.1%	14.1%	203bps

Source: Company data, Nomura estimates

Fig. 4: Vanguard – P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2024	2025	2026F	2027F	2028F
Revenue	11,949	11,699	12,349	12,594	12,532	14,245	15,175	16,285	17,295	19,085	20,425	21,385	44,055	48,591	58,237	78,190	92,573
Revenue (USD mn)	364	376	413	406	397	451	474	509	540	596	638	668	1,372	1,559	1,830	2,443	2,893
Gross profit	3,597	3,280	3,312	3,465	3,671	4,604	5,103	5,501	5,631	6,048	6,227	6,404	11,933	13,654	18,880	24,310	28,231
- Opex	(1,359)	(1,384)	(1,480)	(1,658)	(1,584)	(1,704)	(1,897)	(2,036)	(2,145)	(2,290)	(2,451)	(2,566)	(4,822)	(5,880)	(7,220)	(9,452)	(11,109)
Operating profit	2,238	1,897	1,832	1,807	2,087	2,901	3,206	3,466	3,487	3,758	3,776	3,838	7,111	7,773	11,659	14,858	17,122
Pretax profit	2,675	2,382	2,099	2,095	2,437	3,313	3,544	3,687	3,773	4,059	4,045	3,951	8,752	9,251	12,981	15,829	17,503
Net profit	2,414	2,043	1,703	1,748	2,246	2,975	2,885	3,000	3,219	3,460	3,448	3,369	7,046	7,908	11,105	13,496	14,902
EPS (TWD)	1.31	1.11	0.93	0.95	1.22	1.62	1.57	1.63	1.75	1.88	1.87	1.83	4.21	4.30	6.04	7.34	8.10
Profitability	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26F**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2024**	**2025**	**2026F**	**2027F**	**2028F**
Gross margin	30.1%	28.0%	26.8%	27.5%	29.3%	32.3%	33.6%	33.8%	32.6%	31.7%	30.5%	29.9%	27.1%	28.1%	32.4%	31.1%	30.5%
- Opex ratio	-11.4%	-11.8%	-12.0%	-13.2%	-12.6%	-12.0%	-12.5%	-12.5%	-12.4%	-12.0%	-12.0%	-12.0%	-10.9%	-12.1%	-12.4%	-12.1%	-12.0%
Operating margin	18.7%	16.2%	14.8%	14.3%	16.7%	20.4%	21.1%	21.3%	20.2%	19.7%	18.5%	17.9%	16.1%	16.0%	20.0%	19.0%	18.5%
Pretax margin	22.4%	20.4%	17.0%	16.6%	19.4%	23.3%	23.4%	22.6%	21.8%	21.3%	19.8%	18.5%	19.9%	19.0%	22.3%	20.2%	18.9%
Net margin	20.2%	17.5%	13.8%	13.9%	17.9%	20.9%	19.0%	18.4%	18.6%	18.1%	16.9%	15.8%	16.0%	16.3%	19.1%	17.3%	16.1%
Q-Q	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26F**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**					
Revenue	3.4%	-2.1%	5.6%	2.0%	-0.5%	13.7%	6.5%	7.3%	6.2%	10.3%	7.0%	4.7%					
Revenue (in USD)	1.6%	3.5%	9.8%	-1.7%	-2.3%	13.6%	5.2%	7.3%	6.2%	10.3%	7.0%	4.7%					
Gross profit	8.5%	-8.8%	1.0%	4.6%	6.0%	25.4%	10.8%	7.8%	2.4%	7.4%	3.0%	2.9%					
Operating profit	16.3%	-15.3%	-3.4%	-1.4%	15.5%	39.0%	10.5%	8.1%	0.6%	7.8%	0.5%	1.7%					
Pretax profit	14.6%	-11.0%	-11.9%	-0.2%	16.3%	36.0%	7.0%	4.0%	2.3%	7.6%	-0.4%	-2.3%					
Net profit	30.7%	-15.4%	-16.6%	2.6%	28.5%	32.4%	-3.0%	4.0%	7.3%	7.5%	-0.3%	-2.3%					
Y-Y	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26F**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2024**	**2025**	**2026F**	**2027F**	**2028F**
Revenue	24.0%	5.7%	4.6%	9.0%	4.9%	21.8%	22.9%	29.3%	38.0%	34.0%	34.6%	31.3%	15.1%	10.3%	19.9%	34.3%	18.4%
Revenue (in USD)	18.6%	10.0%	13.1%	13.4%	9.1%	19.8%	14.8%	25.4%	36.3%	32.3%	34.6%	31.3%	11.7%	13.6%	17.4%	33.5%	18.4%
Gross profit	55.5%	14.0%	-3.4%	4.5%	2.1%	40.4%	54.1%	58.8%	53.4%	31.4%	22.0%	16.4%	14.2%	14.4%	38.3%	28.8%	16.1%
Operating profit	81.5%	10.0%	-17.8%	-6.2%	-6.8%	52.9%	75.0%	91.8%	67.1%	29.6%	17.8%	10.7%	23.2%	9.3%	50.0%	27.4%	15.2%
Pretax profit	67.7%	11.0%	-21.6%	-10.2%	-8.9%	39.1%	68.8%	76.0%	54.8%	22.5%	14.1%	7.2%	-0.9%	5.7%	40.3%	21.9%	10.6%
Net profit	89.8%	13.6%	-20.0%	-5.4%	-6.9%	45.6%	69.4%	71.7%	43.3%	16.3%	19.5%	12.3%	-4.4%	12.2%	40.4%	21.5%	10.4%

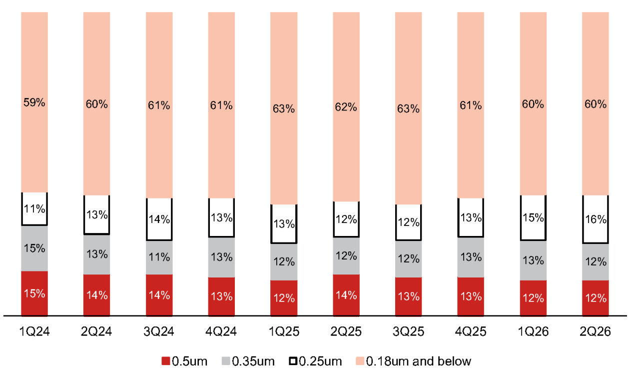
Source: Company data, Nomura estimates

Fig. 5: Nomura forecasts vs Bloomberg consensus for 2026-28F

	2026F			2027F			2028F		
(TWD mn)	**NMR**	**BBG**	**Diff.**	**NMR**	**BBG**	**Diff.**	**NMR**	**BBG**	**Diff.**
Revenue	58,237	58,704	-0.8%	78,190	76,702	1.9%	92,573	94,044	-1.6%
Gross profit	18,880	18,797	0.4%	24,310	23,294	4.4%	28,231	30,028	-6.0%
Operating profit	11,659	11,680	-0.2%	14,858	14,587	1.9%	17,122	20,182	-15.2%
Pretax profit	12,981	12,735	1.9%	15,829	15,708	0.8%	17,503	19,033	-8.0%
Net profit	11,105	11,103	0.0%	13,496	13,341	1.2%	14,902	15,572	-4.3%
EPS (TWD)	6.04	5.95	1.6%	7.34	7.07	3.9%	8.10	8.41	-3.6%
Margin	**NMR**	**BBG**	**Diff.**	**NMR**	**BBG**	**Diff.**	**NMR**	**BBG**	**Diff.**
Gross margin	32.4%	32.0%	40bps	31.1%	30.4%	72bps	30.5%	31.9%	-143bps
Operating margin	20.0%	19.9%	12bps	19.0%	19.0%	-1bps	18.5%	21.5%	-296bps
Pretax margin	22.3%	21.7%	59bps	20.2%	20.5%	-24bps	18.9%	20.2%	-133bps
Net margin	19.1%	18.9%	16bps	17.3%	17.4%	-13bps	16.1%	16.6%	-46bps

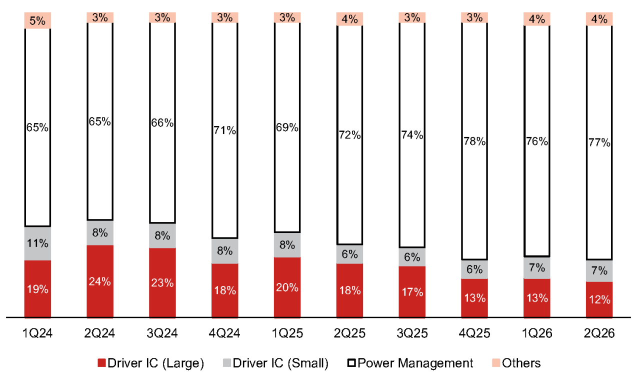
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 6: Vanguard's wafer revenue mix by technology



Source: Company data, Nomura research

Fig. 7: Vanguard's wafer revenue mix by platform



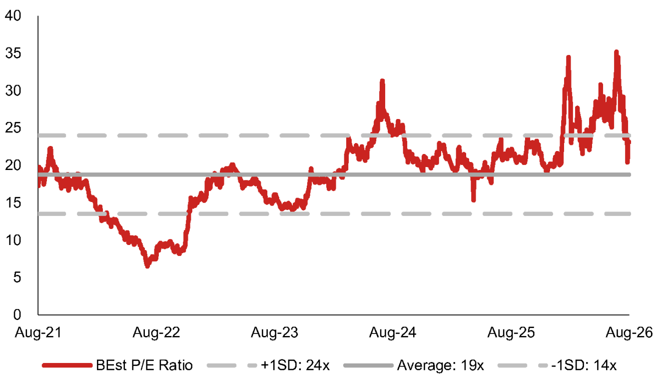
Source: Company data, Nomura research

Valuation methodology and risks

Our new TP of TWD220 is based on 30x 2027F EPS of TWD7.34. Our target P/E multiple of 30x is at the high end of VIS's historical trading band.

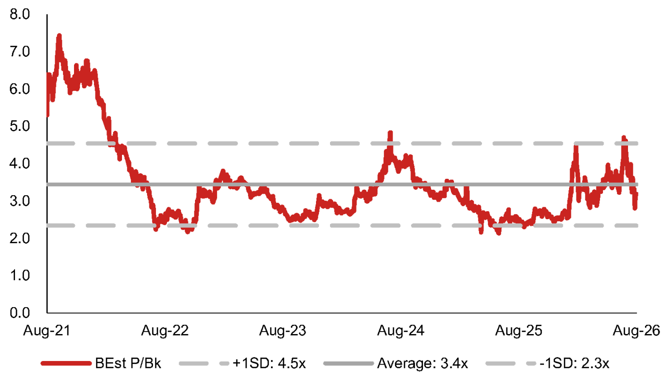
Major downside risks: (1) shortage of 8" fab supply could accelerate customers' migration to 12"; (2) oversupply after major 8" foundries' capacity expansion; and (3) weaker-than-expected end-product sell-through.

Fig. 8: Vanguard – consensus P/E ratio



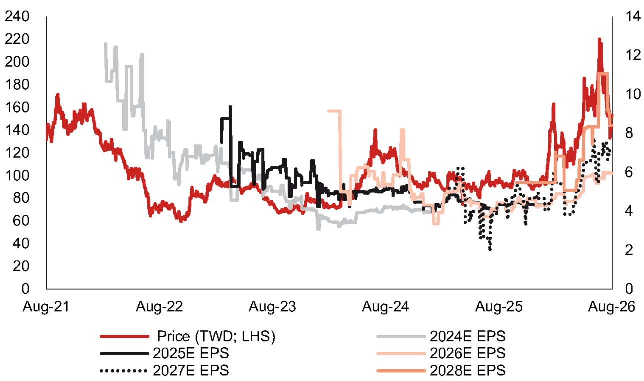
Source: Bloomberg Finance L.P., Nomura research

Fig. 9: Vanguard – consensus P/B ratio



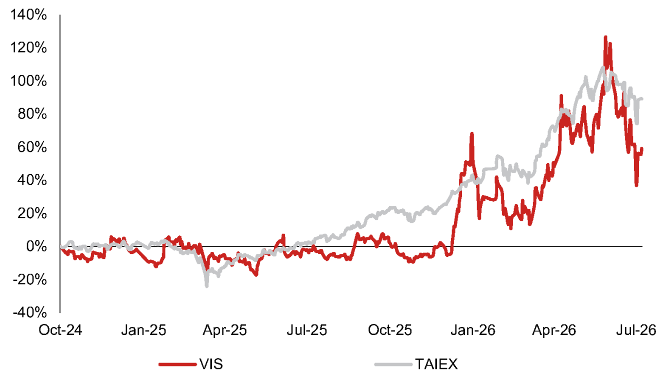
Source: Bloomberg Finance L.P., Nomura research

Fig. 10: Vanguard's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P., Nomura research

Fig. 11: Vanguard vs TAIEX price performance from late October 2024



Source: TEJ, Nomura research

Vanguard: 2Q26 analyst briefing summary

Below comments are from Vanguard's management, unless otherwise stated:

Results summary

- Revenue was TWD14.2bn (+13.7% q-q, +21.8% y-y).
  - Revenue growth was primarily due to stronger shipment volumes (driven by seasonal demand and customer inventory restocking) and favorable pricing.
  - Wafer shipments were up 11% q-q to 713kpcs 8" wafers, vs guidance for +11-13% q-q.
  - Blended ASP (in USD terms) was up 3% q-q, due to pricing adjustments and favorable mix, vs guidance of +2-4% q-q.
- GM was 32.3%, vs 29.3% in 1Q26 (+3.0pp q-q) and guidance of 31-33%, mainly due to better UTR and favorable mix and ASP, partly offset by higher manufacturing costs.
- Opex was up 7.5% q-q. OPM was 20.4%, vs 16.7% in 1Q26.
- Effective tax rate was about 12.7% due to tax credit recognition of TWD251mn.
- Diluted EPS was at TWD1.56.
- Balance sheet
  - A/R turnover day was 51 days exiting 2Q26 vs 51 days in 1Q26.
  - Inventory turnover day was 73 days exiting 2Q26 vs 74 days in 1Q26.
  - Debt ratio was 58% exiting the quarter.

Management commentary

- Revenue breakdown by technology
  - All platforms grew q-q.
  - 0.5um: 12% of revenue (flat).
  - 0.35um: 12% (-1pp).
  - 0.25um: 16% (+1pp) due to AI server power demand growth.
  - 0.18um and below: 60% (flat).
- Revenue breakdown by platform
  - All platforms grew q-q.
  - Large-display driver ICs (12% of revenue)
  - Small-display driver ICs (7%)
  - Power management (77%) saw strength from AI server and handset power management products.
  - Others (4%)
- 3Q26E guidance
  - FX assumption of TWD32.0/USD.
  - Vanguard expects wafer shipments to increase 1-3% q-q as customer's overall demand for power management products has continued to increase, but production has bottlenecks.
  - Blended ASP to increase 2-4% q-q.
  - GM of 32.5-34.5%.
- 12" VSMC
  - The fab had the first batch of sample lots in June 2026 with good yields, and the site is on track to mass production in early 2027E.
- Capacity

  - Plans to eliminate less fine-pitch capacity and upgrade it to finer pitch in 2026E.
  - Full-year capacity at 3,306kwpa 8” (-4% y-y; unchanged).
  - Plans for 279kwpm of capacity in 3Q26E (+1% q-q).
- Capex budget & depreciation
  - Guides 2026E cash-flow capex of TWD60-70bn (unchanged), 85% of which will be allocated to VSMC and 15% to 8" fabs maintenance and capacity upgrades.
  - Vanguard estimates TWD2,340mn of depreciation charges in 3Q26E (+5% q-q).
  - Models full-year depreciation at TWD9.25bn (+8% y-y).
- Demand visibility & mix
  - Has four months of demand visibility, supported by AI server power and seasonal stocking demand.
  - Expects 90% of UTR in 3Q26 (up q-q).
  - AI server power demand continues to grow significantly, and thus 0.18um and advanced/power management mix will be up in 3Q26E.

Q&A

- Outlook
  - 80%+ UTR in 1Q26, close to 90% in 2Q26E, 90% in 3Q26E, and higher in 4Q26E.
  - 3Q26E UTR will be up to 90%, and demand continues to grow. For 4Q26E, Vanguard expects a higher UTR than 90%.
  - Looking ahead into 2H26E and 2027E, the global economy is positive, and semiconductor industry growth is structural, firm, and irreversible on AI investments. Vanguard has been focusing on power management (discrete and controllers), and will see very significant growth in the field. According to Vanguard, 2027E growth is still around AI, and the demand should be outpacing the supply.
  - Wafer shipments will be up 1-3% q-q due to production bottlenecks, and Vanguard is mulling over capex to resolve the bottleneck. Demand is strong – industrial has rebounded, and automotive is flat with potential to rebound. Smartphone, notebook and conventional servers all see content growth and market share gains in some areas despite unit grow. Overall demand is strong, but Vanguard is somewhat constrained by the supply.
  - AI inventory is growing but shipments are growing as well. For other applications, inventory levels are healthy and manageable, including automotive and consumer electronics.
- Pricing
  - Blended ASP will be up 3% q-q at the midpoint, mostly due to like-for-like pricing adjustments, plus some contribution from mix benefits.
  - In response to supply shortage in 2026-27, Vanguard is investing in 12″ as well as 8″, and given competition for global/Taiwan talents and direct/indirect material and equipment cost inflation, price adjustments are inevitable. Vanguard is working with customers to figure out the pricing schemes into 2027, based on cost and capacity planning, and the company expects a likely higher pricing adjustment magnitude in 2027E vs. 2026.
- Capacity plans
  - Vanguard is very aggressive with procuring machinery and can buy used tools if possible. Used tools can be sourced but the lead time is subject to negotiation.
  - Taiwan fabs and the 8″ fab in Singapore all have some rooms to install more tools. Aside from debottlenecking, Vanguard could also upgrade capacity to finer linewidth.

- VSMC
  - Vanguard had good sample lots at VSMC and all the setup is in place. Vanguard would like to drive cost saving with used tools procurements.
  - Interposers will be in production from 1Q27. The ramp-up pace toward breakeven point and full capacity will take place earlier than expected. Vanguard expects positive impacts on the topline and bottom line in 2027.
  - The current progress suggests an earlier-than-expected ramp-up, breakeven and full tooling.
  - Vanguard's focus is on phase 1 ramp-up. It does have some considerations about phase 2 without concrete plans yet.
- Capex and depreciation
  - Still works on 2027E budgets. A preliminary thought is that capex should be down meaningfully after investment peak in 2025-26.
  - Expects sequential growth in depreciation through 2027E. Vanguard will provide more details about 2027E depreciation, and facility will roll into the depreciation base in 2027E. But interposer production equipment is consigned by customers and thus Vanguard does not expect to incur much charge with interposer production equipment.
- AI-related revenue
  - Single-digit of contribution in 1H26, and double-digit in 2H26 and full-year 2026. Almost double y-y in 2026 off a low base (low single-digit in 2025).
  - Expects more significant revenue growth in 2027 to a higher mix in 2027.
  - Thinks AI power discrete will stay at 8″ mainly in 2026-27E.
  - AI-related revenue next year will include interposers, and Vanguard is gaining shares in AI PMIC and discrete.
  - There are two routes of Smart Power Stage (SPS): 1) fully integrated (MOS+controller) uses 55nm; and 2) IC controllers + dual MOSFET co-package which remain the mainstream and demonstrates robustness to deal with large current.
- Silicon interposer
  - Vanguard does not comment on any specific clients. Vanguard has reached agreements with customers, and they will consign tools to Vanguard/VSMC.
- Compound semi
  - HVDC for servers and automobile is important. Vanguard's opportunities are in GaN with GaN-on-QST serving 800V-1200V. Vanguard also licences 650V GaN from TSMC for automotive OBC and data center (+/-400V and 800V). Vanguard also has a complete portfolio for low-voltage, high efficiency (15-100V).
  - Works with Episil (3707 TT, Not rated) in SiC smoothly despite 2-3 months tool delivery delay. Expects trial run in late-2026.
- Model
  - Expects no tax credit in 2H26E for 20% tax rate and 17% for the full year.
  - As VSMC is ramping up, there will be growth in opex. Vanguard estimates opex to be 12-13% of revenue in 2026E.

Appendix A-1

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,320.00	04-Aug-2026	Buy	N/A	
Vanguard	5347 TT	TWD 154.50	04-Aug-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT) **TWD 2,320.00 (04-Aug-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

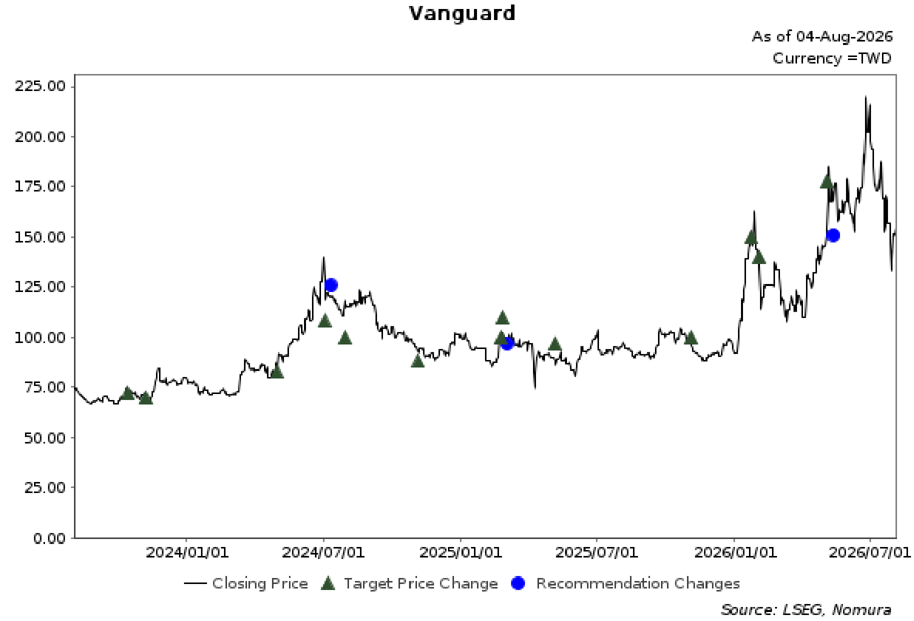
Date	Rating	Target price	Closing price
30-Jun-26		3,425.00	2,410.00
16-Apr-26		2,820.00	2,085.00
09-Apr-26		2,735.00	1,955.00
15-Jan-26		2,280.00	1,690.00
07-Jan-26		2,135.00	1,675.00
16-Oct-25		1,855.00	1,485.00
08-Oct-25		1,780.00	1,415.00
17-Jul-25		1,310.00	1,130.00
15-Jul-25		1,280.00	1,110.00
14-Apr-25		1,170.00	865.00
17-Jan-25		1,440.00	1,120.00
17-Oct-24		1,400.00	1,035.00
11-Oct-24		1,355.00	1,045.00
18-Jul-24		1,330.00	1,005.00
11-Jul-24		1,270.00	1,080.00
10-Apr-24		975.00	815.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD3,425 is based on 25x 2027F EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.
Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Vanguard (5347 TT) **TWD 154.50 (04-Aug-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
05-May-26	Buy		154.00
05-May-26		178.00	154.00
03-Feb-26		140.00	135.50
23-Jan-26		150.00	146.50
04-Nov-25		100.00	98.70
06-May-25		97.00	88.40
25-Feb-25		110.00	102.00
23-Feb-25	Neutral		99.80
23-Feb-25		100.00	99.80
05-Nov-24		88.00	93.60
30-Jul-24		100.00	118.05
03-Jul-24	Reduce		128.87
03-Jul-24		108.00	128.87
30-Apr-24		83.00	84.60
07-Nov-23		70.00	71.52
15-Oct-23		72.00	74.17

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD220.00 is based on 30x 2027F P/E. Our target P/E multiple of 30x is at the high end of VIS's valuation. Our benchmark index is TWSE Index.

Risks that may impede the achievement of the target price Major upside risks: (1) larger-than-expected price hike magnitude for 8" foundries; (2) stronger-than-expected demand increase in automotive; (3) faster-than-expected progress in ramping up incremental fab capacity; and (4) faster-than-expected outsourcing from global IDMs. Major downside risks: (1) shortage of 8" fab supply accelerates customers' migration to 12"; (2) oversupply after major 8" foundries' capacity expansion; and (3) weaker-than-expected end-product sell-through.

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As at 30 June 2026.
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A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

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A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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